

borrowers to believe that they could move some of the inevitable growth forward, so they could enjoy it sooner. In other words, the belief in growth was somewhat self-fulfilling and thoroughly captivating. If growth were a sure thing, debtors could reach ahead to monetize future earnings in the present. States could run large deficits, confident that they would grow their way out of debt in the future. Households could anticipate higher wages and smooth out their lifetime living standards.

THE LOST CENTURY

In the summer of 2010, several articles in the financial press warned that America might face a Lost Decade, similar to the 1990s in Japan. They needn't have worried. The United States had already lost a decade.

But if our analysis of the effect of energy on GDP growth is correct, that is just beginning. Developed economies could lose a whole century. Losing a decade is bad enough, but losing a whole century is beginning to sound like carelessness. Or recklessness. Or inattention. Or robbery.

We will resist the urge to judge the motives or competence of our government authorities. After all, we need to be sharp observers; we can't afford too many illusions of our own. But if our "energy" hypothesis were correct, how many years of growth would be lost? One hundred? Who knows?

Why take a chance? Put your money in the emerging markets instead.

Relative to the developed world, the emerging markets look like winners. And remember, even if the difference is marginal—and even if the trend takes a decade or longer to express itself—that is OK with us.

BIG TREND NO. 2

Gold is a bet against the financial authorities and their institutions. It was a bad bet 30 years ago. But it looks like a good bet now. Here's why:

In 1971, Richard Milhous Nixon changed the world's money system. Detlev Schlichter, writing in the *Wall Street Journal*, marked the anniversary: